

HOUSE No. 1280

The Commonwealth of Massachusetts

PRESENTED BY:

Francisco E. Paulino

To the Honorable Senate and House of Representatives of the Commonwealth of Massachusetts in General Court assembled:

The undersigned legislators and/or citizens respectfully petition for the adoption of the accompanying bill:

An Act regulating insurance coverage for testing and deployment of autonomous vehicles and establishing school zone safety protocol.

PETITION OF:

NAME:	DISTRICT/ADDRESS:	DATE ADDED:
<i>Francisco E. Paulino</i>	<i>16th Essex</i>	<i>1/15/2025</i>

HOUSE No. 1280

By Representative Paulino of Methuen, a petition (accompanied by bill, House, No. 1280) of Francisco E. Paulino relative to insurance coverage for testing and deployment of and school zone safety protocol for autonomous vehicles. Financial Services.

The Commonwealth of Massachusetts

In the One Hundred and Ninety-Fourth General Court
(2025-2026)

An Act regulating insurance coverage for testing and deployment of autonomous vehicles and establishing school zone safety protocol.

Be it enacted by the Senate and House of Representatives in General Court assembled, and by the authority of the same, as follows:

1 SECTION 1. Chapter 90 of the General Laws is hereby amended by adding the following
2 sections:

3 Section 64. Definitions

4 As used in sections 64 to 67, inclusive, the following words shall, unless the context
5 clearly requires otherwise, have the following meanings:

6 "Autonomous Vehicle" or "AV", a motor vehicle equipped with technology that allows
7 the vehicle to operate without the active control or monitoring of a human operator under
8 specific conditions.

9 "Manufacturer", a person or entity that designs, manufactures, or modifies vehicles to
10 incorporate autonomous driving technology.

"Testing Company", an entity authorized to conduct on-road testing of autonomous vehicles within the Commonwealth.

"Cybersecurity Liability Insurance", insurance coverage that protects against financial and legal risks arising from unauthorized access to or control of vehicle systems or data.

"Product Liability Insurance", insurance coverage that protects the manufacturer from liability resulting from defects or malfunctions in the autonomous technology.

Section 65. Insurance Requirements for Autonomous Vehicles

(a) Autonomous vehicles operating on public roads in the Commonwealth shall comply with insurance requirements established by the Division of Insurance (DOI), in consultation with the Department of Transportation (MassDOT). These requirements shall ensure adequate coverage for:

General liability risks associated with AV operations, including testing and deployment.

Product liability to address claims from defects in autonomous technology.

Cybersecurity risks, including unauthorized access, hacking, and operational disruptions.

Personal Injury Protection (PIP), consistent with the Commonwealth's no-fault insurance laws.

Uninsured and underinsured motorist coverage.

(b) The DOI shall establish minimum coverage amounts, with specific thresholds for testing and deployment phases, and shall adjust such amounts based on operational profiles and risk assessments.

(c) The DOI and MassDOT shall establish a joint task force to ensure coordination in implementing insurance and operational requirements, including data sharing and reporting mechanisms.

(d) All autonomous vehicle operations, including testing and deployment, shall comply with the requirements established by the Massachusetts Department of Transportation (MassDOT), including but not limited to, those set forth under Executive Order 572 and any duly promulgated regulations or guidelines issued by MassDOT or the Autonomous Vehicles Working Group.

Section 66. School Zone Safety Protocols for Autonomous Vehicles

(a) Speed Restrictions: Autonomous vehicles operating in designated school zones shall automatically reduce speed to a maximum of 15 miles per hour using geofencing technology.

(b) Pedestrian Detection and Stop Mechanisms: AVs shall employ pedestrian detection systems capable of identifying individuals within 50 feet of a crosswalk and stopping when a pedestrian is detected.

(c) Prohibition on Testing During Active School Hours: Testing of AVs in school zones is prohibited during active school hours or high pedestrian traffic periods unless permitted by MassDOT with enhanced monitoring requirements. Limited testing for the purpose of improving school zone safety may be allowed under strict supervision and additional safeguards.

(d) Geofencing for School Buses: AVs shall recognize and respect geofenced zones around school buses and halt when a bus displays extended stop signs or flashing lights.

(e) Municipal Autonomy and Coordination: Municipalities may enact additional operational requirements for autonomous vehicles, provided such requirements are:

Consistent with state regulations established under this act;

Reviewed and approved by MassDOT to ensure uniformity and compliance across the Commonwealth; and

Clearly communicated to AV operators at least 60 days prior to enforcement to allow adequate preparation and compliance.

Section 67. Additional Provisions and Enforcement

(a) State-Managed Insurance Pool:

The DOI shall establish and manage an insurance pool to support AV companies, distributing risk and providing financial stability for high-risk operations.

The DOI shall promulgate regulations within 180 days of the effective date of this act, specifying funding mechanisms, eligibility criteria, and operational guidelines for the insurance pool.

(b) Penalties for Noncompliance:

MassDOT is authorized to enforce compliance with autonomous vehicle regulations, including the imposition of fines up to \$50,000 per violation, suspension of permits, or other penalties as deemed necessary.

(c) Public Engagement and Transparency:

MassDOT shall establish a public reporting system for autonomous vehicle incidents, including accidents, near misses, and operational disengagements.

Annual reports summarizing safety data and regulatory compliance shall be published and made available to the public.

MassDOT shall host biannual public forums to engage residents, address concerns, and provide updates on AV operations.

(d) Periodic Reviews:

The DOI, in consultation with MassDOT, shall review and update AV insurance requirements every three years to reflect advancements in technology and emerging risks.

(e) Federal Compliance:

The provisions of this act shall comply with all applicable federal laws and regulations governing autonomous vehicles.

(f) Workforce Development and Training:

The Commonwealth shall allocate funding for workforce development initiatives to train residents for careers in autonomous vehicle technology, including software development, maintenance, and regulatory oversight.

(g) Environmental Impact Standards:

All autonomous vehicles operating within the Commonwealth shall meet low-emission or zero-emission vehicle standards as defined by the Massachusetts Department of Environmental Protection.

90 (h) Emergency Vehicle Interaction Certification:

91 Autonomous vehicle operators shall demonstrate the capability to detect and respond to
92 emergency vehicles and personnel during operational testing. Certification of this capability shall
93 be required before deployment.

94 SECTION 2. This act shall take effect 120 days after its passage.